

Acme Retail - Management Report, August 2024

Executive summary

August was a mixed month. Overall revenue was broadly stable, with growth in Products A, C and D offset by a sharp fall in Product B. Management is focused on stabilising supply and restoring availability in September.

Highlights:

- Customer satisfaction remained at 4.3 out of 5.
- The new loyalty programme reached 120,000 members.
- Operating costs were in line with budget.

Marketing and customer activity

The marketing team ran the summer brand campaign across social channels.

Website traffic increased in August and email subscribers grew steadily.

The loyalty programme improved repeat purchases among existing customers.

No pricing changes were made to any product during the quarter.

Product performance - Product B

Product B revenue declined sharply in August.

Management attributed the decline mainly to inventory shortages. A delayed shipment from the primary supplier left stores without stock for roughly two weeks, and several large orders were cancelled. A secondary factor was a short-lived promotion by a competitor.

Corrective actions: a second supplier has been approved and safety stock levels for Product B will be raised by 25 percent.

Regional review - South

The South region delivered the weakest growth over the half-year.

Management explained that warehouse delays at the Kochi distribution centre caused repeated supply disruptions in South. Product A, the best-selling product in the region, was most affected, with late deliveries and partial order fulfilment in July and August.

A new regional logistics partner will start in October.

Outlook and risks

For September, management expects revenue to recover as Product B stock returns.

Key risks: supplier concentration, logistics capacity in the South region, and rising freight costs.

Product D remains a small but steady contributor.